

# Capital Reallocation Is the Real Portfolio Decision

Why governing a portfolio means moving capacity in short cycles, not defending a plan set twelve months ago

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## EXECUTIVE SUMMARY

**A portfolio is governed when a sponsor can move funding and capacity on current evidence, not when the annual plan is well made.**

The annual plan records what leaders believed at the start. The harder test comes later, when new evidence points to a better use of scarce money or people. A short-cycle review gives one owner a clear way to move the resource or record a fair reason to hold.

- 01** Review monthly or quarterly, based on how quickly useful evidence appears.
- 02** Publish in advance what puts an allocation back on the table, ask every initiative for the same evidence, name one owner who decides, and end each review with a recorded move or a recorded reason to hold.
- 03** Give each initiative enough time to produce evidence before it is cut or expanded, so one bad result does not set off constant churn.
- 04** Write these rules on a one-page charter before a live allocation comes under pressure.

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## The plan is not the decision

In the portfolios I have governed under a fixed funding ceiling, leaders often treated the annual plan as the decision. They spent months dividing money and people across initiatives. Then they defended that split until the next planning round. The plan felt like governance. Most of the year, it was administration.

The harder decision comes later. New evidence shows that one initiative is working, another is not, and a third now matters more. Leaders must choose whether to move scarce capacity or leave it where last year's case put it. A portfolio is governed when an accountable owner can make that move on current evidence.

The gap is common. McKinsey surveyed more than 10,000 leaders and managers for its 2026 organization report. Forty-seven percent said they reviewed budget and talent only once a year or less. Only 30 percent said their organizations moved resources across the enterprise.<sup>[1]</sup> The survey does not prove that one review schedule is best. It does show that annual review is common while enterprise-wide movement is rare.

That matters because a strategy becomes real through allocation. If leaders cannot move money or people when facts change, the portfolio keeps funding an old view of the world. The annual plan then becomes a lock instead of a starting point.

## What the annual plan freezes

An annual plan records what leaders believed at one point in time. It rests on forecasts, business cases, and the evidence available then. Those inputs can be useful without being permanent.

### EXHIBIT 1

#### An annual plan freezes three things in place

##### Funding

Money stays with initiatives instead of evidence, so a program missing every milestone keeps its capacity.

##### Capacity

Scarce specialists stay on work that has lost value, because reassigning them feels like admitting the plan was wrong.

##### Attention

The review checks conformance to plan, not whether the work is still the best use of the capacity it holds.

Yet many allocations barely change. A McKinsey study followed more than 1,600 U.S. companies over 15 years. The capital a business unit received in one year closely tracked what it received the year before. The average correlation was 0.92. For one-third of the businesses, it was 0.99.[2] In plain terms, last year's allocation almost always became this year's allocation.

When the plan hardens, three things freeze. Funding stays with an initiative even after its case weakens. Scarce people stay with work that has become less valuable. Leaders also spend review time asking whether each project matches its plan. They stop asking whether that project is still the best use of the next dollar or the next specialist.

Project status still matters. A team must know whether work is late, over cost, or at risk. But status cannot answer the portfolio question by itself. A project can be on plan and still be the wrong place for the next unit of capacity.

## Reallocation is the portfolio decision

A real portfolio review compares active work as facts change. PMI separates performance reporting from benefits realization in its portfolio standard.[3] One asks how delivery is going. The other asks whether the investment is producing the result it was meant to produce. A portfolio needs both views.

## EXHIBIT 2

**Enterprise-level reallocation is rare****30%**

of organizations reallocate resources enterprise-wide; 47% of leaders review budget and talent only annually or less often.

McKinsey & Company, The State of Organizations 2026 (survey of 10,000+ leaders and managers across 16 countries and 17 industries).

Stage-Gate guidance makes the same point in practical terms. Leaders may need to speed up, slow down, stop, or reallocate active work when resources are limited.[4] A gate earns its place when it can change a commitment. A gate that only records status cannot govern scarce capacity.

There is also a long-run performance case for moving resources. In the 15-year McKinsey study, the top third of reallocators shifted an average of 56 percent of capital across their businesses. They reported about 30 percent higher annual shareholder returns than the bottom third. They were also about 13 percent more likely to avoid acquisition or bankruptcy.[2] This is an observed link, not proof that reallocation caused those results.

The same study gives an important warning. Over periods shorter than about three years, high reallocators did worse. The lesson is not to chase each new number. It is to move when evidence shows a lasting change and to hold when the signal is still weak. Good governance prevents both stale funding and constant churn.

The standard is simple: a sponsor should be able to move funding and people between initiatives before the next annual plan. The move must use current evidence, follow a stated process, and end with a clear decision. If leaders can only wait for budget season, they are managing a plan that may already be out of date.

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## Run a short-cycle review

A short-cycle reallocation review makes that standard usable. It can run monthly or quarterly, based on how quickly the portfolio can learn. Its job is not to collect status. Its job is to decide whether a contested resource should move.

The review follows a small loop. First, observe the new evidence. Next, compare the current use of the resource with credible alternatives. Then move the resource or record a decision to hold. Finally, state what the team must observe before the next review.

Four controls make the loop work.

## 1. A published trigger

A trigger is a known condition that puts an allocation back on the table. It might be two missed evidence milestones, a benefit case that no longer matches its baseline, or a better use for the same scarce team. A published trigger makes the question routine. No one has to make a political act out of raising it.

## 2. A small evidence set

Each initiative should bring the same core facts: its starting baseline, current leading and lagging measures, remaining cost, expected benefit, and a check against similar work. Bent Flyvbjerg calls for this outside view because early cost and benefit estimates often predict actual results poorly.[5] The review should test the current case, not reward the strongest presentation.

## 3. One decision owner

One sponsor needs the authority to move funding and people across initiative lines. Project leaders should explain their evidence. They should not decide the trade-off for the whole portfolio. Shared input is useful; shared accountability is usually a delay.

## 4. A move or a recorded hold

Every triggered review should end with a resource change or a clear reason to hold. 'We discussed it' is not a decision. A hold can be the right choice when the evidence period is too short or a dependency has delayed the result. Recording the reason keeps that hold open to later review.

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# Set the pace without creating churn

The right pace depends on how quickly useful evidence appears. A service portfolio may see cycle-time or quality changes within weeks. A product portfolio may need several months of customer evidence. The review schedule should match that learning speed. Annual review should not be the only way to make a material move.

Each initiative also needs a decision horizon. This is the minimum time its evidence needs before leaders reduce, expand, or pause it. Safety, legal, or explicit stop conditions can override that horizon. The rule protects new work from an early overreaction while keeping weak work from hiding forever behind the promise of future value.

Public investment guidance offers a useful model. GAO says portfolio reviews should use actual investment data, compare actual results with expected results against set thresholds, and adjust resources when needed.[6] A threshold does not make the decision. It tells leaders when they must reconsider the allocation.

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## What happens when a trigger fires

Consider two initiatives that share one specialist team. One is meeting its evidence milestones. The other has missed two and no longer supports the benefit case approved at the start. Under an annual plan, both keep their share of the team until budget season.

Under a reallocation charter, the second miss is a trigger. At the next review, both uses of the specialist team are compared. The struggling initiative brings its baseline, current signals, remaining cost, and expected result. The portfolio sponsor sees that the case has weakened and moves part of the team to the stronger use. The decision record explains why.

Now take the opposite case. An initiative misses an early milestone because a dependency arrived late, but its test is still running and its decision horizon has not passed. The sponsor records a hold. That is not favoritism if the same rule applies to every initiative. It is protection against cutting useful work before it has a fair chance to produce evidence.

The two cases use one standard: move only when the new allocation is more credible than staying put. That standard is stricter than reacting to every miss. It is also stricter than leaving resources in place because moving them would be uncomfortable.

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## Why money and people stay put

The main barriers are not hard to name. Leaders may defend money already spent. A large budget may carry status. Business cases may lack a real baseline. Authority may stop at the edge of a function. McKinsey respondents pointed to management resistance, slow decisions, and reluctance to make bold calls.<sup>[1]</sup> Those are operating problems, not dashboard problems.

The sunk-cost reflex asks how to save the old commitment. A portfolio review asks a different question: where should the next unit of capacity go? Money already spent cannot be recovered. The live decision concerns only the next dollar, month, or specialist.

Local incentives also matter. If leaders lose standing when they return budget, they will defend weak work. The organization must treat a well-supported release of capacity as sound judgment. Otherwise every review invites advocacy and very few resources move.

Weak evidence creates another trap. A business case written only to win approval gives the later review little to test. The fix starts before launch: record the baseline, the expected result, the evidence period, and the conditions that would support a move or a hold.

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## Compare choices across the portfolio

The unit of review is the contested resource and the real alternatives that could use it. It is not one project standing alone. A status deck lists milestones, issues, and requests for help. A reallocation brief names the resource at stake, the time window, the original promise, current evidence, dependencies, alternatives, and the cost of doing nothing.

Not every choice fits one numeric score. A legal duty, a service risk, a revenue opportunity, and a key dependency may all need the same architect. Leaders still need to compare them. The goal is to make the trade-off visible and explainable, not to hide judgment behind false precision.

APM defines portfolio management around selection, priority, control, strategy, and delivery capacity. It also notes that sponsors may need to give up a local priority for the wider portfolio.[7] That does not let a central office second-guess every delivery choice. It gives the portfolio owner the decision when several initiatives need the same scarce resource.

For each material move or hold, keep five facts: the trigger, evidence reviewed, alternatives considered, decision owner, and next expected observation. The last item prevents a temporary choice from becoming permanent through silence. It also lets the portfolio office learn whether its triggers fire too late or its decision horizons protect weak work for too long.

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## Use a one-page charter

A one-page charter can set the rules before pressure rises. It should name seven things:

### EXHIBIT 3

#### Set seven rules before the evidence shifts

- 1 Scope and timing**  
Name the portfolio, how often the review runs, and how soon useful evidence appears.
- 2 Triggers**  
The defined conditions that place an initiative's capacity back on the table, published in advance.
- 3 Evidence**  
Use the same small set for each initiative: its baseline, current signals, remaining cost, and expected result.
- 4 Decision owner**  
The single accountable sponsor empowered to move funding and people from one initiative to another.
- 5 Move rule**  
Every review produces a resource change or a recorded decision to hold, with the reasoning captured.
- 6 Churn guard**  
Act on a lasting change, not one weak signal.
- 7 Fair test period**  
Give the work enough time to produce evidence, and name the conditions that can end the test early.

Publish the charter to the people whose work it may affect. Hidden rules make each move look personal. Clear rules let teams prepare the right evidence, challenge a bad record, and understand why one initiative moved while another held.

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## What to do next

Choose one scarce resource shared by at least two initiatives. It might be funding, an architect, a change lead, or a specialist team. Write the trigger that would put its current allocation back on the table. Name the evidence each initiative must bring, the person who can decide, and the minimum time needed for a fair test.

Run one review before the next planning cycle. End with a move or a recorded hold, plus the next fact you expect to see. If the review cannot change the allocation, the problem is not the quality of the status report. The portfolio lacks a working decision path.

The annual plan tells leaders what they believed at the start. Reallocation shows what they do when the evidence changes.

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## Notes and sources

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### About the author

Marco Policani is an enterprise portfolio, PMO, and AI operating-governance leader. He builds portfolio governance systems where AI carries the analytical load and named humans own every decision — an approach documented across case studies, walkthroughs, and working governance guides on his portfolio site.

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